

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE
(Complainants)

v.

MARINE TRANSPORT LOGISTICS, INC. AND
ALEKSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP INC.
(Respondents)

REPLY TO COMPLAINANTS' EXCEPTIONS TO THE
JUNE 17, 2016 INITIAL DECISION

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PRELIMINARY STATEMENT

Respondents respectfully submit this brief pursuant to Commission Rule 227 in Reply to Complainants' March 13, 2017 Exceptions to the June 17, 2016 Initial Decision by Administrative Law Judge Clay G. Guthridge's (the "ALJ"). As discussed herein, Complainants have not pointed to any facts overlooked in the Initial Decision, nor have Complainants identified any law to contradict ALJ Guthridge's well-reasoned and correct findings. Complainants simply disagree with the Initial Decision and ALJ Guthridge's findings, but that is not a basis for valid Exceptions. Accordingly, Respondents respectfully submit that the Commission should affirm the Initial Decision in all respects.

REPLY TO COMPLAINANTS' EXCEPTIONS

I. THE FORMULA BOAT WAS NOT PART OF AN INTERNATIONAL SHIPMENT – THERE WAS NO CONTRACT OF CARRIAGE AND COMPLAINANTS ULTIMATELY REQUESTED THAT THE FORMULA BOAT BE MOVED DOMESTICALLY FROM NEW JERSEY TO FLORIDA.

The Initial Decision found that Complainants had failed to prove that the Formula Boat was part of an ocean transportation in the foreign waters of the United States (i.e., from the U.S. to a foreign port.) The Initial Decision was based on the finding that "Complainants and Respondents . . . never entered into an agreement to transport the Formula by water from the United States to a foreign port." Rcsp. App. "1", Initial Decision, at p. 26. Moreover, it is undisputed that the Formula Boat (1) was never actually transported by water from the United States to a foreign port; and that (2) Complainants ultimately wanted the Formula Boat transported from New Jersey to Florida. Initial Decision, at p. 5; also Resp. App. "2" (previously

produced by Complainants as CX 055)¹. Accordingly, ALJ Guthridge correctly found that there was never a contract to transport the Formula Boat to Dubai or any other foreign destination. See also Resp. App. “3”, FMC Memorandum Opinion and Order in this Docket No. 15-04, dated March 6, 2017, at p. 14 (“absent evidence that the parties entered into a contract to transport the Formula abroad, Complainants do not have a Shipping Act claim for alleged overcharges or mishandling of the Formula”). Nothing in the Exceptions actually (or materially) alters ALJ Guthridge’s findings in the Initial Decision.

A. The Initial Decision correctly found that Complainants did not enter into a contract of carriage for ocean transportation of the Formula Boat to Dubai.

To prevail on a Shipping Act claim for the Formula Boat, Complainants must prove by a preponderance of evidence that Complainants entered into a contract of carriage for the ocean transportation from the U.S. to a foreign port of the Formula Boat. Steadman v. SEC, 450 U.S. 91, 102 (1981). In this case, ALJ Guthridge correctly found that no contract of carriage existed, whether express or implied.

1. *There was no contract of carriage between the parties for the ocean transportation from U.S. to Dubai of the Formula Boat.*

The required proofs for a contract are well-established. “Proof of a contract requires evidence showing that an offer was extended and accepted and that consideration changed hands.” See Vinmar Inc. v. China Ocean Shipping Co., 266 S.R.R. 420, 423 (FMC 1992). By way of comparison, the offer, acceptance, and consideration for a contract of carriage were all met on the ocean transportation of the Monterey and Chaparral Boats were met: instructions by Complainants to ship the two boats to Dubai; payment by Complainants of \$2,400 for

¹ The Russian-to-English translations were provided and certified by Complainants.

loading/shipping the Monterrey (together with a separate boat) to Dubai; payment by Complainants for \$2,400 for loading/shipping the Chaparral Boat (together with a separate boat) to Dubai; and the issuance of bills of lading. Initial Decision, Findings of Fact 46 – 56 and Resp. App. “4” (compiling referenced exhibits previously submitted to ALJ Guthridge as CX 056 – 059). In clear contrast, Complainants did *not* give instructions for the ocean transportation of the Formula Boat, did not pay ocean freight, and consequently, MTL did not issue a bill of lading. All the required formalities for the existence of a contract are missing.

2. ***Complainants have not proven an implied contract of carriage for the export of the Formula Boat.***

Given the absence of evidence that a contract of carriage existed for the Formula Boat, Complainants now argue that a contract of carriage was implied. However, even an implied contract requires proof of (1) mutuality of intent to contract; (2) consideration; and (3) lack of ambiguity in offer and acceptance. City of El Centro v. U.S., 922 F.2d 816, 820 (Fed.Cir. 1990) citing Russell Corp. v. U.S., 210 Ct.Cl. 596, 537 F.2d 474, 482 (1976) cert denied 429 U.S. 1073, 97 S.Ct. 811, 50 L.Ed. 791 (1977). All three required elements must be proven by Complainants, but Complainants have failed to do so.

- a. The offer and acceptance of a contract for carriage are ambiguous, at best, and precludes the finding of an implied contract.

First, there is ambiguity, at best, in whether an offer was made or accepted. If the Commission finds that Respondents made an *offer* to transport the Formula Boat to Dubai by issuing an invoice, through Royal Finance Group, of \$77,280.00 – comprised of \$59,780 for the purchase of the Formula and trucking from the auction site to New Jersey, \$4,500 for a trailer, \$12,000 for freight to Dubai, \$500 for documentation, and \$500 for a commission – then an *unambiguous* acceptance would be Complainants payment of the \$77,280.00. Initial Decision,

Findings of Fact no. 79. However, Complainants did not pay the \$77,280.00 listed on the invoice. Instead, Complainants paid *only* the \$59,780 for the purchase of the Formula Boat and pickup and delivery from the auction site. In other words, Complainants did not pay the freight cost of \$12,000. Initial Decision, Findings of Fact no. 80. Moreover, Complainants did not communicate instructions for shipment to Dubai. In fact, Complainants testified that from December 2013 to February 2014², he did not give any instructions to ship the Formula to the Middle East. Resp. App. “5”, Deposition Tr. of Complainant Safonov, at p. 65:14 – 20. To the contrary, the only clear instructions documented from Complainants allegedly arrived on February 13, 2014, and were instructions to prepare documents to transfer the Formula Boat to Florida. Resp. App. “2”. Thus, whether any offer or acceptance existed was ambiguous, at best, and the Initial Decision correctly found the ambiguity against Complainants.

- b. The ambiguity of consideration, likewise, precludes the finding of an implied contract of carriage.

Second, Complainants’ failure to pay the freight charges makes it ambiguous whether the offer to export the Formula Boat to Dubai was ever accepted by Complainants, especially when compared to Complainants payment of the freight charges, prior to shipment, of the Monterey and Chaparral Boats (which were moved by ocean carrier to Dubai without any incident.) In this case, the requisite consideration for ocean transportation was the \$12,000 invoiced by Respondents for “loading/shipping to Dubai.” Resp. App. “6”, CX 031. This was not paid by Complainants.³ Moreover, Complainants’ own testimony was that as late as December 2013, the

² Although the transcript mistakenly lists the time period as December 2014 [sp] to February 2015 [sp], it was subsequently corrected and understood by Complainants that the time period referred to was December 2013 to February 2014.

³ The fact that freight was not paid is further highlighted by Complainants’ July 17, 2014 e mail, wherein Complainant requests that Respondents “calculate the shipping from you to Ft. Lauderdale” for all three boats and does not mention or allege that freight was paid for the Formula Boat. Resp. App. “6”, CX 061.

parties were still “trying to agree on the shipping cost of the Formula Boat.” Resp. App. “5”, Deposition Tr. of Safonov, at p. 63:22 – 64:1.

Although Complainants now take the position that the ocean freight for the Formula Boat was “not yet due,” the absence of clear proof that consideration (for an international ocean shipment) changed hands is nevertheless ambiguous, at best, and precludes the finding of an implied contract of carriage. In this regard, the formalities for an implied contract of carriage are not an either/or exercise. All three formalities – mutuality of intent, consideration, and an unambiguous offer and acceptance – must be proven. Complainants have failed to do so, and the Initial Decision correctly found that no contract of carriage was existed.

3. ***Complainants’ payment of non-freight charges does not imply a contract of carriage for foreign international commerce.***

Third, it is undisputed that Complainants decided *not* to export the Formula Boat to Dubai but instead to move the Formula Boat from New Jersey to Florida. Complainants argue that their prior payment for a trailer or shipping documentation proves that an ocean contract of carriage (in the foreign commerce of the United States) of the Formula Boat existed. However, Complainants ignore that a trailer and shipping documentation would also be required if the Formula Boat was being transported domestically (e.g. to Florida.) Once again, this evidence is ambiguous on the requisite formalities of an *international* contract of carriage. When the evidence is “evenly balanced,” then Complainants must lose. Workers Compensation Programs v. Greenwich Collieries, 512 U.S. 267, 276 (1994).

B. **Complainants’ allegation concerning the purchase date of the Formula Boat is not relevant or material to the absence of a contract of carriage.**

As part of Complainants’ kitchen sink approach to the Commission and at Respondents, Complainants apparently now claim that Solovyev did not obtain the title to the Formula Boat

until 2015 and this “resulted in MTL’s inability to export the vessel abroad.” Compl. Brief at p. 28. This claim was not raised before ALJ Guthridge, either in pre-hearing briefs or at the May 13, 2016 hearing, nor is it part of the Initial Decision. In any event, although the goalpost-shifting makes it difficult to address this meritless claim, it should be sufficient to state that Respondent’s “ability” to export the Formula Boat is not and has never been the issue in this proceeding. Indeed, such a claim is nonsense given that Complainants did not want the Formula Boat shipped to Dubai at all, but instead wanted it moved domestically to Florida.

II. COMPLAINANTS’ DECISION TO SHIP THE FORMULA BOAT TO FLORIDA, EXTINGUISHED ANY CONTRACT OF CARRIAGE THAT MAY HAVE EXISTED.

As discussed, the Initial Decision correctly found that the Formula Boat never left the U.S. and the record is clear that as of February 13, 2014, if not earlier, Complainants gave instructions to move the Formula Boat domestically from New Jersey to the U.S. Thus, even if a contract of carriage previously existed, which the Initial Decision *did not* find and which Respondents dispute, Complainants unilaterally withdrew or canceled the contract of carriage (which, in any event, was not paid for.) Resp. App.”2”, CX 055. This, alone, precludes the finding of Shipping Act jurisdiction or a valid Shipping Act claim.

A. Complainants’ reason for canceling any prior contract of carriage is not relevant or material; moreover, the alleged reason given by Complainants is contradicted by the undisputed evidence on the record.

Although it is not relevant or material to the issue of Shipping Act jurisdiction, Complainants now claim that “after complainants realized respondents were acting in bad faith, having decided they were “crooks,” that complainants decided to reroute the Formula to Miami [in February 2014].” Compl. Brief at p. 9.

This claim is clearly an attempt to rewrite history and has no support in the established record. First, Complainants' testimony was *not* that Respondents were crooks, but that non-party Andrey Tretiakov, whom Complainants allege to be Solovyev's friend, was a crook. Resp. App. "6", Dep. Tr. at p. 65:4 – 6 ("I noticed that his friend, Andrey Tretiakov, started to become a crook . . .") Second, in order for the Commission to believe Complainants' fiction, the Commission would also have to believe that after Complainants believed Respondents to be crooks in February 2014, Complainants requested that the Formula Boat be moved to Florida *and* 5 months later, in July 2014, Complainants sent Respondents another two boats (i.e., the Monterey and Chaparral Boat.) This, thus, is clearly nonsense: why would Complainants send Respondents more boats in July 2014 if they thought Respondents were crooks in February 2014? It also goes without saying that this fiction is not documented anywhere in the record. Lastly, Complainants do not explain how or why this fiction would warrant reversal of the Initial Decision. Accordingly, Respondents respectfully submit that the Commission should reject this non-relevant attempt to change the record.

B. The Fifth Circuit Court of Appeals decision in State of Texas v. Anderson, Clayton & Co. et al., cited by Complainants, refutes Complainants' own argument.

Perhaps the clearest sign that Complainants' argument is without any legs is that Complainants contrived to misrepresent the Fifth Circuit Court of Appeals decision in State of Texas v. Anderson, Clayton & Co. et al., 92 F.2d 104 (5th Cir. 1937) to the Commission.

As necessary background, in Clayton, the plaintiff (Clayton & Co.) was a purchaser of cotton "in small lots, at interior points in Texas" which were then assembled in carload lots and transported to Houston by various carriers. At Houston, the cotton would be "graded, sampled, and assembled with sufficient other bales of cotton" "to fill orders for export" and the defendant

railroad agents “are notified that the cotton is intended for export or interstate shipment, and it moves on through bills of lading, appropriately marked to so indicate.” *Id.* at 105. The issue in *Clayton* was whether such shipments were intrastate or interstate for tariff purposes. *Id.* at 106. The State of Texas intervened on a claim that the shipments were wholly intrastate. *Ibid.* A final decree, after extensive hearing, was entered finding that the shipments were interstate. The State of Texas then appealed. *Ibid.* The Fifth Circuit found that the shipments were *interstate*, and made the following key holding – which was disingenuously cut by Complainants when Complainants cited it to the Commission⁴:

It is well settled that, in determining whether a particular movement of freight is interstate or intrastate or foreign commerce, the intention existing at the time the movement starts governs and fixes the character of the shipment. *If the shipment comes to rest within the state of origin and the goods are thereafter disposed of locally, the interstate character of the shipment is lost*, but temporary stoppage within the state, made necessary in furtherance of the interstate carriage, does not change its character.

* * *

The stoppage at Houston was temporary and slight. In all shipments by water there are delays at the seaport, usually incident to the arrival and loading of the vessel. It would be idle to say that such delays break the continuity of the interstate journey and cause the freight to come to rest within the state. The stoppage of the cotton at Houston had no more effect than this.

Id. at 106 (emphasis added).

⁴ Complainants, however, represented the *Clayton* decision to the Commission to be only that “the intention existing at the time the movement starts governs and fixes the character of the shipment.” See Compl. Brief at p. 29. Such characterization is incorrect, at best, or dishonest at worst, for all the reasons discussed herein, not least of which is because the *very next sentence in the decision* from the Fifth Circuit completely rejects Complainants’ argument that the Formula Boat would be part of an international ocean contract of carriage. *State of Texas v. Anderson, Clayton & Co. et al.*, 92 F.2d 104, 106 (5th Cir. 1937)

In this regard, the Fifth Circuit's decision in Clayton is both sensible and in accord with the reality of ocean transportation. If a shipment stops at the state of origin and ultimately remains there, it cannot be considered an "interstate" shipment. Id. Accordingly, the facts in Clayton support Respondents' position and the Initial Decision, because the Formula Boat originated in the U.S. (New Jersey) and remained in the U.S. at all times (i.e., in New Jersey or in New Jersey pending domestic transportation to Florida.) Therefore, the Fifth Circuit's decision is wholly distinguishable from the facts in the current proceeding.

1. ***The shipper in Clayton intended for the shipments to move interstate and had a contract of carriage with the railroad for the interstate move.***

The first distinguishing fact is that the cotton buyers in Clayton not only intended for the cotton cargo to move interstate, but in fact had an interstate contract and bill of lading with the carrier (i.e., the railroad). By clear contrast, Complainants acknowledged in this proceeding that he wanted the Formula Boat to be moved domestically to Florida. This fact obviates any "intention" for ocean carriage to Dubai. An "intention" is not a contract of carriage.

2. ***In Clayton, the stoppage in Houston was only temporary and the stoppage was part of a final interstate carriage.***

The second key distinguishing fact in Clayton, is that the cotton cargo only made a *temporary* stop at Houston, in order to be assembled and exported interstate with other cotton cargo arriving in Houston from other locales. As the Fifth Circuit stated, "the stoppage was temporary and slight." Id. at 106. By clear contrast, the Formula Boat in this case did not make a "temporary" stop in New Jersey due to "delays at the seaport, usually incident to the arrival and loading of the vessel." Ibid. Instead, it is undisputed that the Formula Boat stopped permanently in New Jersey (in the U.S.) and that such final stoppage was at Complainants' request.

3. ***The cotton cargo in Clayton was ultimately transported interstate, unlike the Formula Boat here which was not (transported internationally).***

Third, in conjunction with the point above, the cotton cargo in Clayton was intended for interstate purpose and ultimately was *transported interstate*. “It was the intention of plaintiff that it would be ultimately shipped to other states and foreign countries and that purposes was *accomplished by shipment from Houston*.” *Id.* at 106 (emphasis added). Again, in clear contrast, the Formula Boat was never loaded onboard a vessel for ocean transportation to Dubai, and Complainants did not want it to be transported to Dubai. Whatever international “intention” Complainant claims existed did not persist. In order for the facts in Clayton to actually be analogous – assuming also that Complainants had actually paid for freight to Dubai first and that a booking had been contracted for and a bill of lading had then issued, etc. – the Formula Boat could only have stopped *temporarily* in New Jersey, e.g., for Customs inspection, to be loaded with other boats, or due to vessel delay, before ultimately being loaded onboard a vessel for Dubai. Such facts would be consistent with the purposes of the Shipping Act. But, obviously, those are not the facts in this proceeding.

Complainants’ citation to N. Carolina Utilities Comm’n v. United States, 253 F.Supp. 930,933 (E.D.N.C. 1966) is similarly erroneous, because the cargo in NCUC was found to be a “continuation of foreign commerce” due to its *actual* movement from Belgium to the U.S., and from the U.S. to further destinations inland. *Id.* Again, at risk of sounding like a broken record, the Formula Boat at issue did not leave the U.S. and at Complainants’ own request, would never have left the U.S.

Accordingly, Respondents respectfully submit that the Commission should affirm the Initial Decision finding that no contract of carriage existed for the Formula Boat and that Complainants did not allege a valid Shipping Act claim with regard to the Formula Boat.

C. **Respondents dispute that Complainants paid twice for the same trailer, but even if it occurred, it would not create a Shipping Act claim or Shipping Act jurisdiction.**

Having failed to prove that a contract of carriage existed, Complainants now turn to whether an alleged overpayment of \$5,000 for a trailer should have been “credited” towards export costs to Dubai. In this regard, first, Respondents disputed whether the August 13, 2013 payment by Complainants of \$5,000 was for a trailer for the Formula Boat, or whether it was payment for a trailer used for the ocean carriage of a Sea Ray Boat (that is not at issue in this case.) As the Initial Decision noted, Complainants argue that this payment was for a trailer for the Formula Boat, but there is nothing in the record to indicate one way or the other. Initial Decision, at p. 26 FN10. Additionally, even if there was an overpayment, which Respondents dispute, Complainants have not explained why such payment would be “credited” towards an export move to Dubai that Complainants *did not want*.

In a last-ditch attempt to muddy the waters, Complainants also now complain that “there is no evidence on the record . . . which supports a finding that a trailer was ever purchased by Solovyev.” Compl. Brief. at p. 26. On this point, it should again be sufficient to point out that Respondents’ purchase of a trailer for the Formula Boat is not and has never been the issue and was not disputed during the proceedings. Nor would Respondents’ purchase of a trailer or a failure to purchase a trailer, the latter of which is disputed, create Shipping Act jurisdiction.⁵

⁵ Because it is not at all relevant or material, it is unclear why Complainants are complaining that Initial Decision Finding of Fact 84 “was based solely upon *complainants’* deposition testimony.” Compl. Brief at p. 14. Initial Decision Finding of Fact 84 concerns Complainants’ approval of a trailer. Other than Complainants’ own testimony attesting to his approval, what else would this fact be based upon?

D. Complainants' claim, and alleged injuries, do not relate to an international contract of carriage to Dubai.

Lastly, it should not be lost that Complainants alleged injuries are not related to any ocean transportation to Dubai. Complainants are not, for example, claiming that Respondents failed to export the Formula Boat to Dubai or that damage or loss occurred during international ocean transportation. Complainants' claim on the Formula Boat arises solely from their failure to for storage in New Jersey for a Formula Boat that *remained* in New Jersey, at Complainants' instructions (or lack thereof), from August 2013 to August 2014 when Complainants ultimately and finally decided to have the Formula Boat moved *domestically* to Florida. This is not a Shipping Act claim.

III. RESPONDENTS DID NOT ACT AS A CARRIER OR AS A "LOCAL FREIGHT FORWARDER" FOR JULY 2014 DUBAI-TO-UNITED STATES IMPORT CARRIAGE OF THE MONTEREY AND CHAPARRAL BOATS.

With respect to the Dubai-to-United States carriage of the Monterey and Chaparral Boats, the Initial Decision found that MTL's "only connection to the Dubai-United States shipment of the Monterey and Chaparral from Dubai to the United States established by the documents is as consignee." Initial Decision, at p. 22. This finding is supported by the documents and facts.

Complainants' Exceptions, on the other hand, is supported *only* by a belated self-serving "certification" which, despite being sworn to under penalty of perjury, was directly contradicted by the very documents which Complainants attempted to submit. See Complainants, App. "9", Certification of Safonov, dated April 21, 2016. ALJ Guthridge did not overlook the "facts" in Certification, but correctly did not find them to be credible. Initial Decision, at p. 22.

A. The Initial Decision correctly rejected the “facts” in the self-serving and unsupported April 21, 2016 Certification by Complainant Safonov.

The allegations contained in Complainants’ April 21, 2016 Certification, which Complainants argue were ignored or given little regard by ALJ Guthridge, are directly contradicted by evidence on the record, including evidence submitted by Complainants.

1. ***The e-mail record, including correspondence on which Complainant was copied, directly refutes Complainants’ claim that Respondent Solovyev made an offer of \$1,500 for the Dubai-to-U.S. carriage of the Monterey and Chaparral Boats.***

The first of Complainants’ unsubstantiated, if not outright false “facts,” is that Complainants’ “assistant found two companies that can deliver the boats for approximately \$4,000, but then he received a better offer for the same delivery from Aleksandr Solovyev for \$1,500.” Compl. App. “9”, at ¶ 4. In support of this allegation, Complainants directed ALJ Guthridge (and now direct the Commission) to e-mail correspondence produced by the Complainants and numbered CX 058 – 059. Compl. App. “9”.

However, in making this claim, Complainants apparently did not realize or failed to appreciate that their exhibit CX 058 – 059 are part of a longer e-mail chain, inclusive of the two prior pages CX 056 – 057 produced by Complainants. As ALJ Guthridge correctly recognized, the April 27, 2014 e-mails in CX 056 – 057 make it clear that Solovyev, upon Complainants’ request, was able to locate a rate of \$2,492 from VOCC Hapag-Lloyd and a rate of \$3,411 from VOCC Mediterranean Shipping Company. See Resp. App. “3”. Contrary to Complainants’ sworn-to certification, Complainants “assistant” did not find two companies that can deliver the boats for approximately \$4,000; rather, Solovyev provided two quotes from VOCCs (not from MTL) for \$2,492 and \$3,411, which were not utilized by Complainants.

But, again contrary to Complainants' certification, the e-mails makes it clear that Solovyev did not make an "offer of \$1,500" for the same carriage. This alleged offer of \$1,500, which Respondents note would be significantly lower (i.e. 40% lower) than the offer from MSC, is not documented anywhere. Complainants have not alleged or shown that they *paid* Respondents this fictitious \$1,500. More importantly, the record clearly establishes that VOCC American President Lines (APL) was the ocean carrier selected by Complainants and APL charged Complainants \$3,593.46 for the Dubai-to-U.S. ocean carriage. Initial Decision, Findings of Fact no. 64.

2. ***There is no evidence of a "proposal" for MTL to arrange for the import ocean carriage of the Monterey and Chaparral Boats from Dubai to the United States.***

Complainants' second unsubstantiated "fact" was the allegation that Respondents arranged for the ocean carriage of the Monterey and Chaparral Boats from Dubai to the United States. Again, other than Complainants' self-serving and conclusory statements, this allegation is not supported by the record. As the Initial Decision correctly noted: "other than the fact that MTL was named as consignee, no documentary evidence in the record links MTL to the transportation of the Monterey and the Chaparral by APL." Initial Decision, at p. 23. The Initial Decision did not overlook any evidence because Complainants did not submit any evidence.

Instead of pointing to facts or law that ALJ Guthridge (allegedly) ignored, Complainants now argue that Respondents acted as a "regional" ocean freight forwarder for the ocean carriage. This argument makes no legal or logical sense.

To start, an ocean freight forwarder "means a person that (i) in the United States, dispatches shipments *from the United States* via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers." 46 C.F.R. 515.2(m)(1)(emphasis

added). The plain and unambiguous language of the Shipping Act confers jurisdiction to the Commission only on ocean freight forwarders engaged transporting goods by ocean from the U.S. to a foreign destination. Here, it is undisputed that the ocean carriage of the Monterey and Chaparral Boats at issue is an *import* shipment. Accordingly, it is respectfully submitted that Respondents cannot be ocean freight forwarders – “regional” or otherwise – on an import shipment.

In addition, Complainants’ argument that a consignee at destination, such as MTL, would assume “regional responsibility” for the *entire preceding ocean carriage* is absurd. A consignee does not exercise any authority or control over the ocean carriage or even of the initial loading or packaging of a shipment. To accept Complainants’ argument, which ALJ Guthridge rightfully did not, would require the Commission to find that MTL, as a consignee, agreed to be wholly liable for the preceding ocean carriage by VOCC APL, including but not limited to if the boats had been damaged during the ocean carriage or lost overboard. MTL has denied any agreement to this effect. There is no proof in the record that MTL agreed to do so, or that MTL received consideration to do so. Complainants have not cited the Commission to any facts or legal authority to compel such a result.

B. Respondents did not fail to provide Complainants with the services that were actually paid for.

Complainants’ claim that Respondents took monies but failed to provide services is, likewise, not supported by the record. All services which were paid for by Complainants were performed. This claim is nothing more than an attempt by Complainants to belabor the same issue of lack of payment for ocean transportation of the Formula Boat to Dubai. Complaints unequivocally did not pay for ocean transportation to Dubai and did not want ocean

transportation to Dubai. The decisions cited by Complainants are all distinguishable on those points.

In Corpco International, Inc. v. Straightway, Inc., 1998 WL 940257 (F.M.C. Jun. 8, 1998), Docket No. 97-05, cited by Complainants, the Complainant alleged that it “entered into an agreement” with NVOCC Straightway for the transport of a crane from Detroit, Michigan to Qingdao, China. Id. at *2. Complainant paid \$35,342.64 for the transportation. Id. at *2. However, the transportation was interrupted when Straightway’s European sub-contractor, Kolbex, determined to charge Straightway a different much higher rate than that initially quoted to Straightway. Id. at *2. When summarizing the issue actually present in Corpco International, Inc., the Commission stated that:

The issue presented under these circumstances is whether a violation of section 10(d)(1) of the Act may be found where an NVOCC *has agreed to ship cargo and has been paid to do so*, but where the cargo cannot be delivered because the NVOCC's agents refuse to issue the negotiable bill of lading required to secure delivery.

Id. at *6 (emphasis added).

The Commission ultimately found that “it is an unreasonable practice for a NVOCC to fail to secure release of cargo by failing to obtain a negotiable bill of lading from its agent when the NVOCC is embroiled in a rate dispute with that agent.” Ibid., at *6.

In clear contrast with the facts in Corpco International, Inc., there was no contract of carriage in this case to ship the Formula Boat to Dubai nor was there any *payment* by Complainants to ship the Formula Boat to Dubai. MTL did not *refuse* to issue a bill of lading for ocean transportation to Dubai. It is well-settled that the Shipping Act applies only to cargo is transported by water in the foreign commerce of the United States. 46 U.S.C. § 40101; See

generally Landstar Express America, Inc. v. Fed. Mar. Comm'n, 569 F.3d 493, 496 (D.C. Cir. 2009)(Shipping Act jurisdiction cannot be extended beyond its plain language). There was no issue with delivery to Dubai because a contract of carriage did not exist for ocean transportation to Dubai. It is further undisputed that the Formula never left the United States. Initial Decision, at p. 27. The Commission's decision in Corpco International, Inc., thus, has no applicability here.

Similarly, Alexandre Kaminski v. Keystone Limited, 1993 WL 275857 (F.M.C. Jun. 23, 1993), Informal Docket No. 1739(I), cited by Complainants, involved a situation where a common carrier actually received monies for freight but failed to pick up or ship the cargo. In Alexandre Kaminski, the complainant obtained a quote from the respondent of "\$1,150" "to ship an automobile to a buyer in Le Havre, France" under "door service from [complainant's] San Jose, California location." Id. at *1. The parties had a *signed contract* for the shipment and complainant made payment of the \$1,150 in full. Ibid. However, the carrier "Keystone never arrived for the car [to even pick it up for the shipment], nor did it refund any of complainant's payment." Ibid. That is not the case here, when Complainants never paid for the ocean freight in the first instance and, again, did not want the Formula Boat to be shipped to Dubai.

C. Respondents, acting only as a consignee on an import shipment performed by a different carrier, and are entitled to payment for services rendered.

Finally, Complainants argue that MTL "overcharged" Complainants for U.S. Customs Clearance fees and for picking up the Monterey and Chaparral Boats from the terminal after MTL, as consignee, received the two boats in New Jersey on an ocean move performed by VOCC American President Lines. However, Complainants have not articulated any basis for why Respondents, as a consignee, are precluded from earning a profit for non-carrier services as a consignee assisting with U.S. Customs clearance and removing the cargo from the terminal on an import shipment is not subject to the Shipping Act.

Moreover, as the Initial Decision noted, MTL as a consignee was potentially liable for demurrage charges if the boats were not picked up from the terminal. Initial Decision, at p. 24, see also Capital Transportation, Inc. v. United States, 612 F.2d 1312, 1319-1321 (1st Cir. 1979)(upholding Commission’s decision that carrier as well as consignee subject to liability for payment of demurrage). Complainants’ unilateral decision to list MTL as a consignee on an import shipment performed by APL, thus, exposed MTL to risks and costs which MTL was not being compensated for as a NVOCC (i.e., MTL did not charge and did not receive any freight.)

Upon receiving notice of arrival from the third-party VOCC (APL), MTL contacted a customs clearing agent and arranged for the pickup from the terminal and the unloading of the Monterey and Chaparral Boats. MTL is entitled to compensation for its services; whether MTL was charged \$615.70 by a third-party vendor is not relevant or material – unless Complainants are arguing that MTL was only entitled to “pass on” its costs and that MTL was required to render services without compensation.⁶ But this argument is not supported by any legal authority and is not a fact or law that ALJ Guthridge overlooked in the Initial Decision.

IV. SOLOVYEV DID NOT ACT AS AN “UNLICENSED FREIGHT FORWARDER.”

With regard to Respondent Solovyev, the Initial Decision found that Solovyev “made it known that he was acting as an agent for the disclosed NVOCC principal MTL” and that “Solovyev did not hold himself or RFG out to the public to provide transportation and did not assume responsibility for Complainants’ boats.” Initial Decision, at p. 21. ALJ Guthridge’s findings are well-supported by the evidence, including in e-mail correspondence between Complainants and Solovyev. Id.

⁶ Respondents were not able to locate Informal Docket No. 1725(I), cited by Complainants as Tadeusz A. Pawlowicz v. William Allen, at Compl. Brief, p. 23. However, even if Complainants’ summary of the facts in that Informal Docket is correct, which Respondents accept *arguendo*, it is nevertheless clear that the decision did not involve a consignee, who is not subject to the Shipping Act.

As the Commission also held in its March 6, 2017 Memorandum Opinion and Order in this proceeding:

The law is clear on the responsibilities of agents acting on behalf of a licensed OTL. Agents of NVOCCs do not need a license to act on behalf of their principal. Landstar Express, 569 F.3d at 498-99; see also Restatement (Second) of Agency, §§ 1 and 4 (defining agency and disclosed principal). So long as the agent discloses that he is acting on the NVOCC's behalf and does not hold himself out as individually providing ocean transport or related services, the agent does not require a license.

Resp. App. "3", Ibid., at p. 13.

Nothing in Complainants' brief challenges or disputes the findings by ALJ Guthridge or the basis for the Commission's above Opinion and Order. Instead, Complainants have raised strawman arguments which, as next discussed, are inapplicable or distinguishable from the issues in this proceeding.

A. Complainants have failed to point to facts or law to challenge the Initial Decision's finding that Solovyev was an agent for a disclosed NVOCC principal (MTL).

The Initial Decision found that Solovyev, or one of his companies, acted at all material times as an agent of MTL. Initial Decision, Finding of Fact no. 28. This finding is supported by the correspondence between the parties, including e-mails from Solovyev to Complainant wherein Solovyev, or his company, was identified as "agent for MTL. See e.g., Resp. App. "7", previously submitted as CX 024.

1. There is no evidence, much less a *preponderance of the evidence*, to prove that Solovyev was a "Freight Forwarder" or "agent of Complainants."

The substance of Complainants' Exceptions to the Initial Decision is the claim, without any supporting evidence, that Solovyev was a Freight Forwarder acting as *Complainant's agent*, instead of as MTL's agent. Not only is there no evidence to support this argument, but this is a

clear example of Complainants' revisionist history at its very worst. Specifically, Complainants have previously repeatedly argued to the Commission that the facts established that Solovyev was *MTL's agent*, as part of Complainants' (ultimately failed) attempt to impart principal liability on MTL. See Resp. App, "8", Complainants' January 14, 2016 Proposed Findings of Fact no. 13 ("[MTL] permitted [Solovyev] to act on its behalf and hold himself out as its agent"); Exhibit "1", May 13, 2016 Hearing before ALJ Guthridge, Tr. at p. 11:9 – 10 (COMPLAINANT'S COUNSEL: "but we do allege that Mr. Solovyev [was] involved in MTL more than just as an agent"); at p. 90:17-22 (COMPLAINANT'S COUNSEL: "[Solovyev] held himself out [as] some kind of an extension of MTL. He was an agent for MTL in his signature block in the email.") ALJ Guthridge correctly did not accept Complainants' argument that Solovyev was Complainants' agent, in view of the record and Complainants' own arguments to the contrary.

Moreover, in addressing the question of agency and whose agent a party is, the Federal Courts have found that the "control of the manner in which the forwarder performs his duties, however, rather than selection [of the forwarder] has been the more important factor in deciding the agency question." See Strachan Shipping Co. v. Dresser Industries, Inc., 701 F.2d 483, 488 (5th Cir. 1983); Farrell Lines, Inc. v. Titan Industrial Corp., 306 F.Supp. 1348, 1349 (S.D.N.Y. 1969) aff'd 419 F.2d 835 (2d Cir. 1969) cert denied, 397 U.S. 1042, 90 S.Ct. 1365, 25 L.Ed.2d 653 (1970). In other words, for a party to be the shipper's agent, the shipper must control the performance of the party's actions, including selecting the carrier or line used, how cargo is booked, and the shipper should have the requisite knowledge of how its agent performs its duties. Strachem, 701 F.2d 483, 488. The record in this proceeding is clear that Complainants did not control Solovyev's actions, did not have any knowledge of how Solovyev performed its duties,

and did not and could not direct Solovyev in using a different carrier or line; specifically because the record showed that Solovyev was an agent of MTL's.

In order to prevail now, Complainants must point to specific facts and evidence to prove that Solovyev was acting as *Complainants'* agent (i.e., as a freight forwarder.) Complainants have failed to do so. Indeed, other than a rote recitation of the of a freight forwarder's duties pursuant to 46 CFR § 515.2, Complainants have not identified any alleged "errors" or overlooked facts in ALJ Guthridge's Initial Decision that would warrant remand. Because Complainants' cannot prove by a preponderance of the evidence that Solovyev was acting as its agent and a Freight Forwarder, Complainants' arguments and claim of a breach of a Freight Forwarder's fiduciary duty is moot. Accordingly, it is respectfully submitted that the Commission should affirm ALJ Guthridge's Initial Decision that Solovyev, as an agent of MTL's, did not require a license and deny Complainants' claims accordingly.

V. COMPLAINANTS' VEXATIOUS CLAIMS AND MOTION PRACTICE HAVE UNREASONABLY CAUSED RESPONDENTS TO INCUR SIGNIFICANT EXPENSE IN DEFENSE, FOR WHICH RESPONDENTS ARE ENTITLED TO REPARATION.

Finally, the instant proceeding has caused Respondents to incur significant time and costs in defense. The costs of defense have been unreasonably multiplied by Complainants' vexatious motion practice, including (1) an unreasonable September 5, 2016 motion for enlargement of time from the 22 days provided for in Rule 227 to *203 days*; (2) an October 28, 2016 Petition to Reopen Proceedings (denied by the Commission on March 6, 2017 because the alleged evidence from Complainants was not new or material); and (3) a December 5, 2016 Motion For Leave To File Reply To Petition to Reopen Proceedings (also denied by the Commission on March 6, 2017 because Complainants did not assert extraordinary circumstances but simply sought to get

the last word). Complainants' counsel, as an experienced attorney who frequently makes appearances before the Commission, should have known better.

These Exceptions are a continuation of the same practice. Complainants have not pointed to or demonstrated any legitimate factual or legal exception to ALJ Guthridge's Initial Decision. Rather, Complainants simply disagree with the Initial Decision and believe that conclusory allegations, unsupported by the facts or law, justify reversal of the Initial Decision. This is not a valid basis for Exceptions.

Complainants have yet to prove legal or factual entitlement to any relief, but have the opportunity to do so in other forums, including the U.S. District Court for the District of New Jersey wherein Complainants have asserted essentially identical claims in World Express Connection, Inc. v. Crocus, et al., 15-cv-8126. The Federal Maritime Commission and the Shipping Act should not be used as a sideshow to drive up costs for a Respondent. Complainants did so here, but enough is enough. Complainants have not and have never come close to articulating a valid Shipping Act claim and Respondents respectfully request that the Commission grant to all just and reasonable relief, including its fees and costs incurred in defending in this proceeding.

VI. CONCLUSION

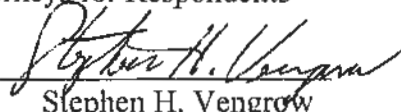
Complainants have the burden of proving that the Initial Decision was in error, and must carry the proof by a preponderance of the evidence that a contract of carriage existed to transport the Formula Boat to Dubai and that Respondents were freight forwarders or ocean carriers on the Dubai-to-U.S. ocean transportation of the Monterey and Chaparral Boats. As set out in the foregoing, Complainants have not carried this burden of proof and indeed, it has never been close. Accordingly, Respondents respectfully submit that the Commission should affirm the

Initial Decision, together with awarding Respondents all just and reasonable relief as the prevailing party in this proceeding.

Dated: April 4, 2017
New York, NY

Respectfully submitted,
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CERTIFICATE OF SERVICE

The undersigned declares under penalty of perjury that the following is true and correct:

1. I am over the age of eighteen years and I am not a party to this action.
2. On April 4, 2017, I served a complete copy of Respondent's REPLY TO COMPLAINANTS' EXCEPTIONS TO THE JUNE 16, 2017 INITIAL DECISION, and APPENDIX OF DOCUMENTS IN REPLY TO COMPLAINANTS' EXCEPTIONS TO THE JUNE 17, 2016 INITIAL DECISION in Docket No. 15-04 by E-mail and FedEx to:

Secretary, Federal Maritime Commission
800 N. Capital St., NW,
Washington DC 20573-0001
secretary@fmc.gov

(Original and 5 copies)

And by U.S. mail and e-mail to:

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
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(Copy only)



Eric Chang

Dated: April 4, 2017
New York, New York